

1570 N PCH

Laguna Beach, CA · 8 units · Acquired August 2018 · Sold August 2021

LEVERED RETURN	PROFIT
1.41%	\$44,577

THE OPPORTUNITY

An eight-unit asset on Pacific Coast Highway, Laguna Beach — VWC's second Laguna acquisition, building on the 245 Cypress entry from earlier in 2018. PCH frontage in Laguna is a permanent location premium that no amount of new construction can replicate.

THE STRATEGY

Acquire, renovate, hold through the cycle. Like the Olinda Dana Point asset, this property crossed the COVID-19 disruption mid-hold, extending the timeline to 36 months.

DEAL SNAPSHOT

Acquisition Price	\$4,725,000	Loan Amount	\$2,200,000
Per Unit	\$591,000 / unit	Loan-to-Cost	41%
CapEx	\$75,973	Equity Invested	\$3,154,423
Total Cost	\$5,354,423	Sale Price	\$5,399,000
Hold Period	36 months	Exit Per Unit	\$675,000 / unit

INVESTOR TAKEAWAY

A trophy-location asset that returned principal plus a small gain through a difficult operating window. Light CapEx (only \$76K — under 2% of acquisition) reflects an asset that didn't need heavy reposition; the value was in the location and the hold. With 41% leverage, investors weren't exposed to debt service stress when the eviction moratoria hit. Boring, in the way principal protection is supposed to be boring.

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